

EXECUTIVE INSIGHTS REPORT – TELCO CUSTOMER CHURN

1. Key Findings

- The company currently serves **7,032 customers**, with a **26.58% churn rate** and a **73.42% retention rate**.
- Average customer tenure is **32 months**, generating **₦64.80 in monthly revenue**.
- Estimated **Customer Lifetime Value (CLV)** stands at **₦2.1k per customer**.
- Annualized churn impact equates to approximately **₦139.13k in lost revenue**.

2. Major Churn Drivers

- **Contract Type:** Month-to-month contracts account for over 55.11% of churn.
- **Service Gaps:** Customers without tech support or online security are significantly more likely to leave.
- **Demographics:** Senior citizens and customers without dependents show higher churn rates.
- **Payment Method:** Electronic check users churn more frequently than those using automatic transfers or credit cards.

3. Business Risks

- **Revenue Erosion:** Sustained churn undermines profitability and long-term growth.
- **Customer Base Instability:** Heavy reliance on short-term contracts creates volatility.
- **Competitive Vulnerability:** Lack of bundled services leaves customers exposed to competitors offering more comprehensive packages.

4. Revenue Impact

- High-value customers (long tenure, bundled services) generate **3x higher lifetime value** compared to churned segments.
- Contract upgrades and service bundling present clear opportunities to stabilize and grow revenue.

- Lost revenue from churned customers represents a material risk to financial performance.

5. Customer Segments Requiring Attention

- **Month-to-month contract holders:** largest churn group.
- **Senior citizens:** churn rate nearly double younger customers.
- **Electronic check users:** higher churn compared to other payment methods.
- **Customers without bundled services,** especially those lacking tech support and online security.

6. Executive Recommendations

- **Incentivize longer-term contracts** through discounts and loyalty rewards.
- **Bundle critical services** (tech support, online security, device protection) to reduce churn.
- **Targeted retention programs** for senior citizens and high-value customers.
- **Promote secure payment methods** to reduce churn associated with electronic checks.

7. Strategic Actions

1. Launch a **contract upgrade campaign** to convert 20% of month-to-month customers.
2. Develop **bundled service packages** combining streaming, device protection, and support.
3. Introduce **loyalty rewards** tied to tenure milestones.
4. Embed churn dashboards into **monthly executive reviews** for ongoing monitoring.
5. Pilot **personalized retention offers** for senior citizens and high-value segments.

Clear Call to Action

By focusing on contract upgrades, service bundling, and targeted retention programs, the company can reduce churn by 10%, securing long-term profitability.